

MERTON DAILY BRIEF - Thursday, June 12, 2026

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HEADLINE OF THE DAY

*Oil crashes 8%, S&P drops 2.5% - Trump announces Iran deal "in coming days" and calls off strikes.**
Brent falls below \$87 after flirting with \$100 this week. SpaceX IPO at \$75bn dominates US markets. ECB raises rates for the first time since 2023. Kevin Warsh consolidates his grip on the Fed.

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GLOBAL SENTIMENT

Indicator	Level	Change	Signal
VIX	18.87	-0.26%	? Neutral
DXY	99.70	-0.35%	? Weak
Gold	\$4,232	-2.40%	Sold
US 10Y	4.46%	-1.61%	Falling
US 30Y	4.95%	-0.96%	Falling
US 5Y	4.19%	-2.10%	Falling
S&P 500	7,394	-2.51%	Correction
NASDAQ	25,810	-3.81%	Sharp drop
WTI	\$84.23	-7.74%	Collapse
Brent	\$86.68	-8.03%	Collapse
BTC	\$63,419	+0.52%	? Resilient
Copper	\$6.41	+1.30%	? Bullish
Silver	\$67.09	-1.96%	Sold
F&G Index	12	Extreme Fear	Extreme fear

* Read:** The market is in paradoxical "risk-off" mode. Oil's collapse (-8%) should be risk-on, but the S&P corrects 2.5% and NASDAQ plunges 3.8%. US rates are falling sharply (10Y -16bps), signaling recession expectations. The Fear & Greed at 12 (Extreme Fear) contrasts with the optimistic Iran narrative. Gold corrects despite geopolitics - investors are liquidating speculative positions after the historic rally. Copper holds up (+1.3%), signaling solid physical demand. BTC holds remarkably at 63K.

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MACRO - WHAT MOVED

UNITED STATES

US inflation at 4.2% in May - Highest in 3 years, driven by energy. Core CPI at 3.3%. These figures rule out any rate cut in the near term.

Kevin Warsh consolidates the Fed - The new Fed Chair has made his first hires, including a Project 2025 author. Fed minutes show some members see a rate hike in July if inflation stays elevated.

Strong job creation - Private payrolls at +122K in May, better than expected. Job openings (JOLTS) surged to 7.6M in April, highest in nearly 2 years.

SpaceX IPO at \$75 billion - Largest IPO in history. SpaceX raises \$75bn for its Nasdaq debut today. Fuels the tech valuation debate.

Wholesale prices up 1.1% in May - More than expected, driven by energy surge. Bond vigilantes are not convinced by the "artificial inflation" narrative.

Yardeni predicts Fed hike in July - To appease bond vigilantes if inflation persists.

EUROZONE

ECB raises rates - First hike since 2023. Eurozone inflation accelerated to 3.2% with the Iran war pushing energy costs. Main rate at 3.0%, deposit facility at 2.25%.

Nagel (ECB): ready to hike again in July if necessary - Dolenc confirms the hike was needed as

data sounds the inflation alarm.

CHINA

Escalation with Philippines - China bans Philippine defense chief from entering. Confrontation with G7.

Chinese investors rush to Hong Kong - Opening accounts amid Beijing's crackdown. E-commerce regulatory truce ending.

Meta dismantles \$2bn Manus deal - On Beijing's orders, exposing cracks in US-China tech partnerships.

China learning to use less oil - A structural shift with long-term implications for global demand.

UNITED KINGDOM

UK economy shrank 0.1% in April - As the Iran conflict began to weigh on growth.

EMERGING MARKETS

India: Modi warns on Iran war - Severe risks. May miss budget deficit target for the first time since Covid. Second tanker incident off Oman within 24 hours.

Indonesia: FX tightening - To support the rupiah. Student protests in Jakarta.

Pakistan: budget under constraint - Testing growth against IMF and oil constraints.

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GEOPOLITICS

HOT

Iran-US deal imminent - Trump says "in coming days," calls off new strikes. Iran state media confirms: deal would reopen Strait of Hormuz and lift oil sanctions. Polymarket gives only 12% chance of a permanent deal by June 15. Trump threatens to seize Kharg Island and other Iranian oil infrastructure.

US strikes on Iranian assets - Iran targets Bahrain, Kuwait, Jordan in retaliation. Kuwait closes airspace. Israel warns of launches from Lebanon.

Strait of Hormuz: traffic resuming - US Energy Secretary says ship traffic is increasing. Polymarket gives 18.5% chance of normal traffic by end of June.

Ukraine: AI drones - Giving Kyiv a fresh edge. Drone war hits Russian gasoline supply.

WATCH

Trump-Modi: repairing ties - In the shadow of new US strikes.

G7: China-West tensions - Macron calls Beijing. Carney races to counter US-China dominance of AI.

Russia: gasoline shortage - Drone war hitting supply. Norway challenges EU on US gas being "safer" than Arctic reserves.

Taiwan: Chinese pressure - Ties with Eastern Europe buckling.

POSITIVE

Potential Iran deal - If signed, could reopen Hormuz, lift oil sanctions, and stabilize global energy. Oil has already partially priced it in (-8%).

SpaceX IPO - Signal of confidence in private innovation. Could pave the way for other major tech IPOs.

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FX FOCUS

Pair	Level	Change	Signal
EUR/USD	1.1582	+0.51%	? Euro strong
GBP/USD	1.3412	+0.57%	? Pound strong
USD/JPY	160.08	-0.15%	? Stable

USD/CHF	0.7954	-0.13%	? Franc strong
DXY	99.70	-0.35%	Dollar weak

* Analysis:** The dollar falls despite high inflation and geopolitical risk. DXY at 99.70 reflects Iran optimism + falling US rates. EUR benefits from ECB hike (+0.51%). GBP outperforms (+0.57%) despite GDP contraction, driven by global sentiment. USD/JPY stable around 160. Swiss franc appreciates slightly as a safe haven.

* Pair to watch:** `EUR/USD` - Clear ECB/Fed divergence. Support at 1.15, resistance at 1.17. Target 1.18 if Iran deal confirmed.

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COMMODITIES

Oil

WTI at \$84.23 (-7.74%) - Massive collapse on Iran deal announcement. Had flirted with \$100 this week.

Brent at \$86.68 (-8.03%) - Same dynamic, Brent loses more than WTI. Brent-WTI spread narrowing.

OPEC: production at lowest since 2000 - OPEC sees demand outpacing supply through 2027.

Goldman Sachs cuts 2027 estimate - On demand uncertainty.

Scenario: \$150 if ceasefire collapses - Analysts warn oil could hit \$150 if US-Iran ceasefire fails.

Gold

Gold at \$4,232 (-2.40%) - Sharp correction, hitting 6-month low. Worst month since 2013.

Technical correction, not fundamental - Historic rally could resume "as fog of war lifts."

Central banks: from buyers to sellers - After record buying, central banks are now selling.

India: hikes gold import duties - As rupee weakens.

Silver & Copper

Silver at \$67.09 (-1.96%) - Following gold lower.

Copper at \$6.41 (+1.30%) - Holding up, signaling solid physical demand.

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TODAY'S CALENDAR - Thursday, June 12

Time (CET)	Country	Event	Impact
14:30	US	CPI May (YoY) - Consensus 4.2%	High
14:30	US	Core CPI May (YoY) - Consensus	High
14:30	US	Jobless Claims	? Medium
16:00	US	Federal Budget May	? Low
20:00	US	Trump Iran Press Conference	High

Week Ahead

Day	Key Event
Fri 13	US PPI, UMich Sentiment, Space
Mon 16	Empire State Mfg, Fed Industri
Tue 17	US Retail Sales, Housing Start
Wed 18	**Fed Rate Decision (Warsh)**,
Thu 19	Philly Fed, Building Permits

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DEEP MACRO THEME

*The 2026 stagflation paradox: energy inflation + fragile growth + Fed under political pressure.**

We are entering a macro regime few investors have experienced: structurally high inflation (4.2%) combined with weakening growth (UK in contraction, US decelerating) and a central bank under direct political control. Kevin Warsh, the new Fed Chair appointed by Trump, is a declared hawk who has already recruited Project 2025 figures. His official mission: maintain price stability. His unofficial mission: give Trump the rate cuts he demands.

The dilemma is brutal. On one side, inflation at 4.2% and PPI at +1.1% in May demand high rates, even tightening. On the other, the Iran war has created a supply shock slowing growth, and bond vigilantes threaten if the Fed doesn't act. The ECB has already chosen: rate hikes despite fragile growth, because 3.2% inflation in the eurozone is untenable.

The market is currently pricing zero rate cuts in June (99.25% probability of status quo on Polymarket) and virtually no 25bps cut either. This is a radical shift from early-year expectations. The Iran deal, if realized, could push oil down durably and reduce inflationary pressure, giving the Fed room. But if the deal fails and oil rebounds toward \$100-150, the Fed will be trapped between inflation and recession.

The "why now" is the convergence of three simultaneous shocks: geopolitical (Iran), energy (Hormuz), and political (Trump's takeover of the Fed). What could change everything: a solid Iran deal that stabilizes energy, or conversely an escalation that sends oil to \$150 and forces the Fed to tighten in the middle of a recession.

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CONSENSUS VS REALITY - THE ALPHA

What the market is pricing:

1. **Iran deal imminent** - Oil fell 8%, global stocks bounced. The market believes in the deal. Polymarket gives 88% chance the deal will NOT be signed by June 15. **VERDICT: The equity market is too optimistic vs real probabilities.**
2. **No Fed rate cut in June** - 99.25% probability on Polymarket. **VERDICT: Correct, Warsh won't cut that fast.**
3. **Energy inflation is temporary** - The market treats inflation as transitory. But PPI at +1.1% and CPI at 4.2% suggest persistence. **VERDICT: Inflation could be stickier than expected.**
4. **ECB hawkish** - ECB hiked and signals July. **VERDICT: Correct, euro should remain supported.**
5. **Gold declining = end of rally** - The market interprets gold's correction as the end of the bull market. **VERDICT: False. The correction is technical (speculative exit). Fundamentals (debts, de-dollarization, central banks) remain bullish.**
6. **SpaceX IPO = new tech cycle** - The market sees the IPO as the start of a tech rally. **VERDICT: Caution, massive IPOs absorb liquidity and can weigh on the secondary market.**
7. **Oil under \$85 = new normal** - The market is pricing durably low oil post-deal. **VERDICT: If the deal fails, oil can explode toward \$100-150. The asymmetric risk is to the upside.**

The Alpha:

1. **Long Gold / Short S&P 500** - Gold is in technical oversold territory (worst month since 2013) but fundamentals remain exceptional. Buy gold at \$4,200 (target \$4,500, stop \$4,100). Short S&P at 7,394 (target 7,100).
2. **Long EUR/USD** - Clear ECB/Fed divergence. Buy at 1.158 (target 1.18, stop 1.14).
3. **Oil straddle** - Oil is at an inflection point. If deal signed ? \$75. If it fails ? \$100+. Buy WTI July \$85 straddle to capture volatility.
4. **Short USD/JPY** - At 160, vulnerable if US rates continue to fall. Short at 160 (target 155, stop 163).
5. **Long Copper** - Holds up (+1.3%) while everything else corrects. Signal of solid physical demand. Long at \$6.41 (target \$6.80).

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MERTON'S TAKE

We are at a historic crossroads. The convergence of the Iran war, energy inflation, and the political takeover of the Fed creates a market regime that traditional models don't capture.

*The current regime: light stagflation with political interventionism.** Inflation at 4.2% is not transitory - it is structural, fueled by de-dollarization, energy supply tensions, and expansionary fiscal policies. Growth is decelerating but not yet collapsing. The Fed is under Trump's control via Warsh, meaning rate decisions will be as politically motivated as economically justified.

*The driver of the week: the Iran deal.** This is THE catalyst. If Trump signs a deal in the coming days, oil stays below \$90, energy inflation calms, and the Fed has room. If the deal fails - and Polymarket gives 88% chance of failure by June 15 - oil can explode toward \$100-150, inflation accelerates, and the Fed is trapped.

*My conviction: the deal will fail or be incomplete.** US strikes on Iranian assets, Iran's retaliation against Bahrain/Kuwait/Jordan, and Trump's threats to seize Kharg Island are not signs of imminent peace. This is aggressive negotiation. The market is too optimistic.

*Trade of the week: Long oil + Long gold + Short S&P.** Buy WTI at \$84 (after the 8% crash) with a \$95 target if the deal fails. Buy gold at \$4,232 (technical correction) with a \$4,500 target. Short S&P 500 at 7,394 with a 7,000 target if this afternoon's CPI surprises to the upside.

*Positioning:** Defensive. High cash. Long safe havens (CHF, gold, BTC). Short growth stocks (NASDAQ). Oil hedge via options. The US CPI at 14:30 CET is the immediate catalyst - if core CPI surprises to the upside (>3.5%), expect a major volatility shock.

*What to avoid:** Don't be long US equities with conviction until the Iran deal is signed. Don't be short gold - the correction is a buying opportunity, not a sell signal. Don't ignore copper - it's the real signal of global demand.

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SOURCES CONSULTED

Yahoo Finance API (real-time prices) ? CNBC (World, Fed, Oil, Gold, Economy, Markets) ? Bloomberg RSS (Markets, Economics, Politics) ? FT RSS (Home, Markets) ? Trading Economics (US CPI, EUR Interest Rate, US/UK/China news) ? Oilprice.com ? Polymarket API (Iran deal, Fed rates, Hormuz) ? Alternative.me (Fear & Greed)

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